$74 billion

the total value lost by shareholders in the 2001 Enron accounting scandal

AUDITING

The accounts of public companies are given unbiased scrutiny by external accountants to check that they are accurate and clear. This is a legal requirement in most countries, designed to ensure market confidence in the business world and transparency in corporate finance. A company may also have an internal audit process, which means that its accounts are checked before being submitted to an external auditor.

Cash-flow statement

Reveals a company's liquidity by tracking the flow of cash—money or short-term investments—in and out of the company.
See pp.120–121.

- Shows if a company can sustain itself, grow, and pay debts.
- Details cash flow from operating, investing, and financing activities.

Environmental accounting

Accounts for myriad environmental rules and regulations that oblige companies to mitigate the impact of business activities.
See pp.122–123.

- Showcases green credentials in financial statements.
- Reveals compliance with environmental, social, and governance criteria.

Depreciation

Accounts for the decrease in value over time of tangible fixed assets in order to spread the cost of assets over their economic life.
See pp.124–127.

- Can be calculated using a number of different methods.
- Tangible fixed assets include buildings, plant, and machinery.

Amortization and depletion

Account for the decrease in value over time of a range of intangible assets, loans, and natural resources.
See pp.128–129.

- Intangible assets include patents, trademarks, logos and copyright.
- Natural resources include minerals and forests.